ICMA CENTRE

IC103

Introductory Economics for Business and Finance

Lecture 1: Introduction to Economics and Markets

Dr Ekaterina Glebkina

Henley Business School | University of Reading

ICMA CENTRE

Welcome to IC103

How the module works and what you will learn

Henley Business School | University of Reading

Teaching Team

Please use Blackboard and your University email for module communication.

Module Convenor & Lecturer

Dr Ekaterina Glebkina

Email e.glebkina@henley.ac.uk

Office hours Friday 12:00 pm – 2:00 pm

Office location ICMA Centre Room G62

Role Lectures, assessment and module queries

Seminar Tutor

Dr Tony Moore — t.moore@henley.ac.uk

Office hours Tuesday 10:30 am – 12:30 pm
Thursday 2:00 pm – 4:00 pm

Office location ICMA Centre Room 111

Seminars are for practice, discussion and questions.
Try the seminar questions before attending.

How IC103 Works

Each part of the module has a clear purpose.

Lectures

Learn the main economic concepts and how they apply to business, finance and real markets.

Seminars

Apply concepts through questions, short exercises and discussion.

Blackboard

Find lecture slides, seminar materials, announcements and assessment information.

Please check Blackboard and your timetable regularly.

Delivery and Weekly Routine

Final times and rooms should always be checked on your timetable.

Activity	When	Format	What to do
Lecture	Weekly	2 hours	Focus on key ideas and diagrams.
Seminar	Weekly	1 hour	Prepare questions; ask for help.
Reading week	2nd November – 6th November	No lectures and no seminars	Review Lectures 1–5 and catch up.

Weekly rhythm: lecture → seminar preparation → seminar discussion.

What We Study in IC103

The module moves from individual markets to the economy as a whole.

Microeconomics

Demand and Supply

Consumer Behaviour

Production and Costs

Market Structure

Consumers, firms and individual markets

Macroeconomics

Economic Growth and Aggregate Demand

Unemployment and Inflation

Exchange Rates and Balance of Payments

Money, Banking and Interest Rates

The economy as a whole

Assessment 1: Group Industry Economics Report

40% of the overall module mark

Group size	6 students
Length	3,000 words
Task	Analyse one industry in one country using IC103 economic concepts
Deadline	11 December 2026, 12:00 pm UK time

The aim is to apply economics to a real industry — not simply describe it.

Assessment 2: In-Person MCQ Exam

60% of the overall module mark

Duration

2 hours

Questions

50 multiple-choice questions

Coverage

Microeconomics and macroeconomics

Format

One correct answer per question

Exam rules on notes/calculators: Student's own non-communication-enabled and non-networked calculator. Notes permitted - 2 sides of A4.

Lectures and seminars will prepare you for both assessments.

Reading and Learning Materials

You are not expected to read every textbook chapter from beginning to end.

Core Textbooks

- Sloman, J., Garratt, D. and Guest, J. (2018). *Economics*. 10th ed. Pearson.
- Mankiw, N. G. and Taylor, M. P. (2017). *Economics*. 4th ed. Cengage Learning.

Recommended Reading

- Begg, D., Vernasca, G., Fischer, S. and Dornbusch, R. (2020) *Economics.* 12th ed.

Relevant chapters and any additional materials will be highlighted each week on Blackboard.

Section 2: Introduction to Economics

What is economics? • Why do we make choices? • How do economists think?

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Which statement best describes economics?



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How individuals and society make choices when resources are limited	How to predict stock prices	How businesses maximise profits	How governments control markets

Show correct answer

Economics Is About Decisions

Individuals, businesses and governments all make choices under constraints.

Individuals

What should I buy, save or study?

How should I use my time and income?

Businesses

What should we produce?

How much should we produce?

At what price?

Government

How should taxes and public resources be used?

How should markets be regulated?

Economics studies choices and their consequences.

Two Ideas at the Heart of Economics

These ideas will appear throughout the module.

1. Decisions are interconnected

Choices made by consumers, firms and governments affect each other.

2. Every choice involves a trade-off

Choosing more of one thing usually means giving up something else.

Why? Because resources are limited. Scarcity creates choice.

Scarcity: Resources Are Limited

Resources are limited, but human wants are not.

Resources

Land

Natural resources used in production.

Examples: land, oil, minerals, water.

Labour

Human physical and mental effort used in production.

Examples: workers, managers, designers.

Capital

Equipment and structures used to produce goods and services.

Examples: machines, factories, technology.

Scarcity means choices must be made about how resources are allocated.

Key Takeaway: What Is Economics?

Main definition:
Economics studies how individuals and society make choices when resources are limited.

Scarcity → Choice → Trade-offs

Because resources are limited, we cannot satisfy every want, so choices have to be made.

Four Economic Ideas We Will Use Today

1. **People face trade-offs**
2. **Choices have opportunity costs**
3. **Good decisions compare marginal benefits and marginal costs**
4. **People respond to incentives**
   Prices are incentives: a higher price tends to discourage buyers but encourage sellers.

Adapted from Mankiw's introductory principles. Other principles appear later in the module.

Mankiw and Taylor (2017), Chapter 1 https://ebookcentral.proquest.com/lib/reading/reader.action?docID=5267279&ppg=14

1. People Face Trade-offs

Making a choice usually means giving something else up.

Student	Study	↔	Leisure
Consumer	Spend	↔	Save
Business	Invest	↔	Pay dividends
Government	Healthcare	↔	Other public spending

Efficiency

Getting the most from available resources.

Equity

How resources and outcomes are distributed.

2. Opportunity Cost

The real cost of a choice includes what you give up.

Opportunity cost is the value of the next-best alternative you give up when making a choice.

Example

You choose to study for a Master's degree instead of working.

The opportunity cost includes the income you could have earned from work.

Your turn

You spend Saturday afternoon studying instead of working a £100 shift.

What is part of the opportunity cost?

Opportunity cost is not always just money — it can also include time and other alternatives.

3. Think at the Margin

People make decisions by comparing costs and benefits at the margin.

Marginal benefit

Benefit from one additional unit.

Marginal cost

Cost of one additional unit.

Decision rule

Do more when marginal benefit > marginal cost.

Business example

An airline has one empty seat before departure. Should it sell that seat at a discounted price?

The relevant question is the additional benefit and additional cost of selling one more seat.

Can a Market Exist Anywhere?

This is a famous example from R. A. Radford's study of prisoner-of-war camps.
Radford (1945): The Economic Organisation of a POW Camp

- Prisoners traded goods with each other.
- Cigarettes acted as a form of money.
- Prices emerged and changed with scarcity.

Key message

Markets can develop wherever people have different wants and limited resources.

Adam Smith's "invisible hand"

This links to Adam Smith's idea of the 'invisible hand'. When buyers and sellers pursue their own interests, their separate decisions can help coordinate economic activity without central direction.

Microeconomics vs Macroeconomics

IC103 studies both individual markets and the economy as a whole.

Microeconomics

Studies individual consumers, firms and markets.

Examples:
- Why does quantity demanded fall when price rises?
- How does a firm decide what to produce?
- Why do some markets have only a few firms?

Macroeconomics

Studies the economy as a whole.

Examples:
- Why does inflation rise?
- What causes unemployment?
- Why do economies grow?

Economists use models and evidence to understand economic behaviour.

Demand

Section 3: How Markets Work

3.1 Demand — How do consumers respond to prices and market conditions?

What Is a Market?

Markets bring together buyers and sellers of a good or service.

A market is a group of buyers and sellers of a particular good or service.

Many buyers and sellers

Example: local food markets or online marketplaces.

A few large firms

Example: airlines, supermarkets, mobile networks.

One dominant supplier

Example: a monopoly or near-monopoly in a local market.

We will study different market structures later in the module.

Two Sides of Every Market

Demand and supply describe the decisions of buyers and sellers.

Demand → Buyers

How much consumers are willing and able to buy at different prices.

Supply → Sellers

How much producers are willing and able to sell at different prices.

Price helps coordinate the decisions of buyers and sellers.

Why Do Prices Change?

Why are Uber prices higher after a major concert?

Why are airline tickets more expensive during school holidays?

Why might a poor harvest increase food prices?

Discuss

Is the change coming from buyers, sellers, or both?

Demand and supply give us a simple framework for answering these questions.

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If the price of a product rises, what normally happens to quantity demanded, assuming other things stay the same?

It increases	It decreases	The demand curve shifts right	It always stays the same
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Show correct answer

The Law of Demand

Holding other things constant, price and quantity demanded move in opposite directions.

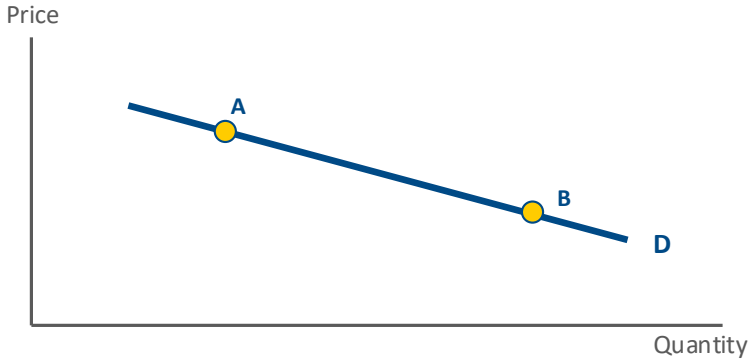
Ceteris paribus: when the price of a good rises, quantity demanded falls; when price falls, quantity demanded rises.

Quantity demanded

The amount consumers are willing and able to buy at a particular price.

Key distinction

Change in own price → change in quantity demanded.



Higher price → lower quantity demanded

From Individual Demand to Market Demand

Market demand adds up the quantities demanded by all consumers at each price.

Example – Demand Schedule: Demand for potatoes

Individual demand

Market demand

Point	Price (p/kg)	Tracey's demand (kg)	Darren's demand (kg)	Market demand (thousand tonnes)
A	50	28	16	700
B	100	15	11	500
C	150	5	9	350
D	200	1	7	200
E	250	0	6	100

Question

What happens to market quantity demanded as price rises?

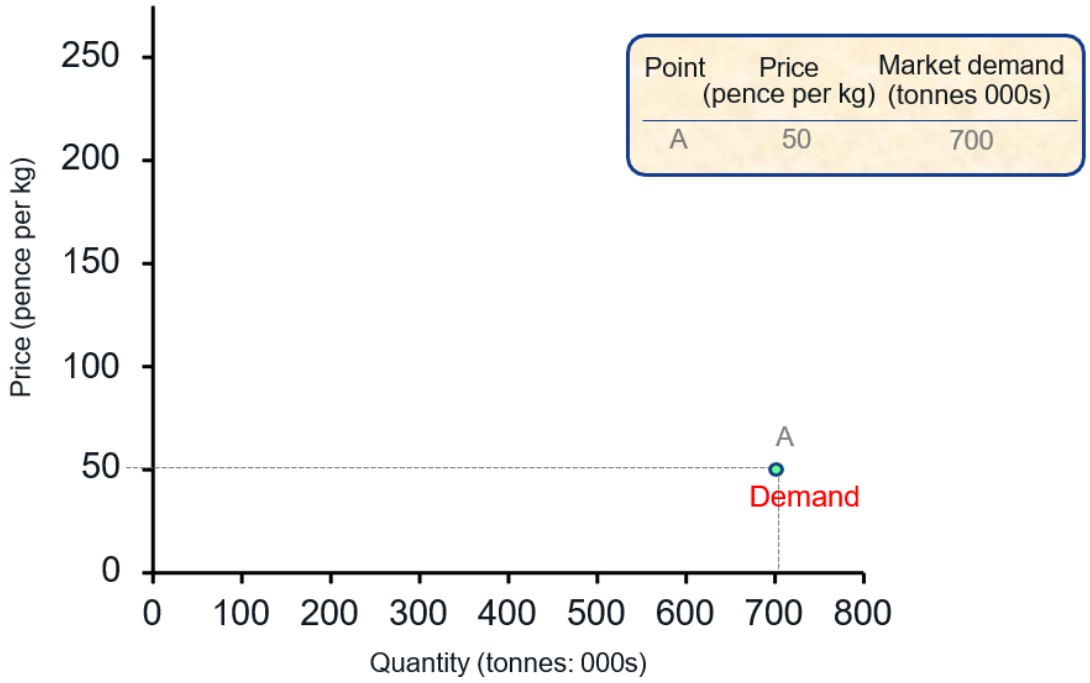
Tracey and Darren are examples of individual consumers; market demand includes all consumers in the market.

The demand schedule becomes the demand curve.

From a Demand Schedule to a Demand Curve

Each point shows one price–quantity combination.

Point A: at 50p per kg, market quantity demanded is 700,000 tonnes.

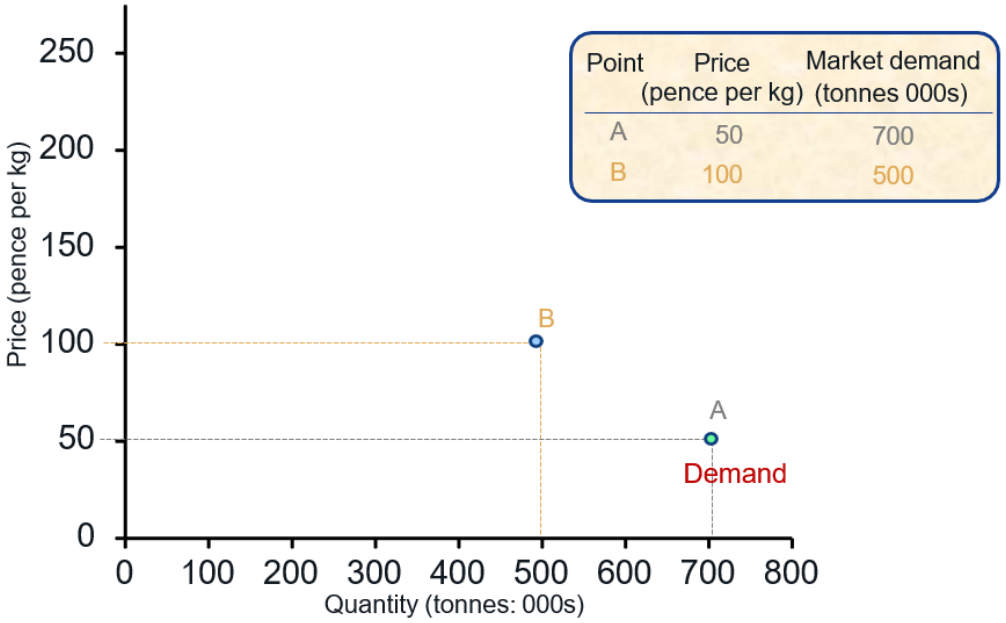


Price on the vertical axis, quantity on the horizontal axis.

Building the Demand Curve

As price rises, quantity demanded falls.

Add Point B: price increases from 50p to 100p, and quantity demanded falls from 700 to 500.

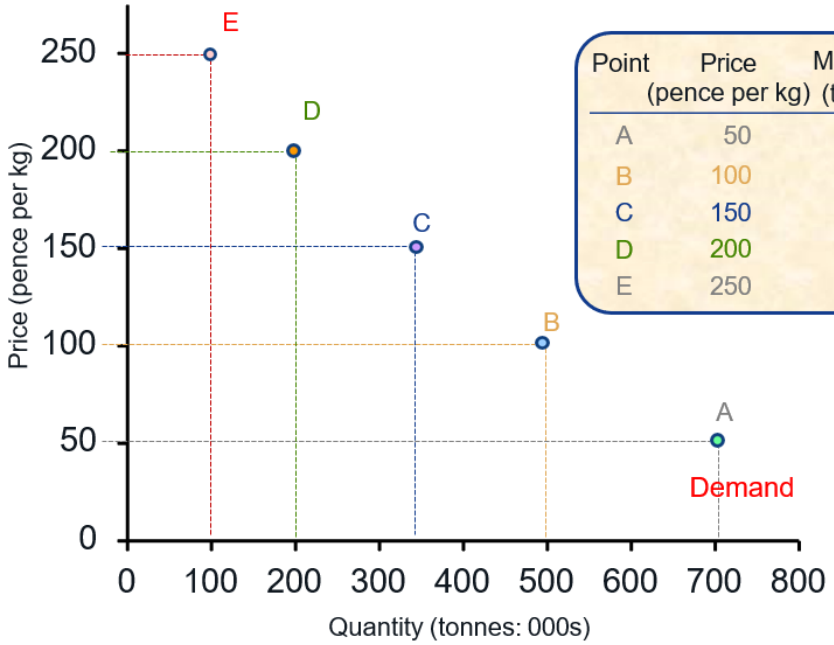


This visual relationship is the law of demand.

Building the Demand Curve

As price rises, quantity demanded falls.

Higher prices are associated with lower quantities demanded, holding other things constant.



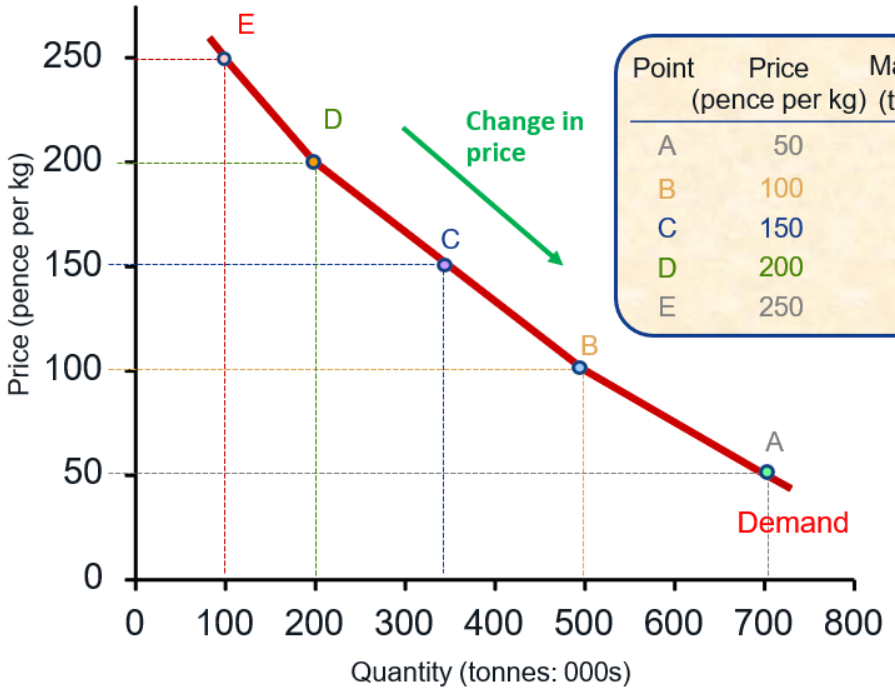
Point	Price (pence per kg)	Market demand (tonnes 000s)
A	50	700
B	100	500
C	150	350
D	200	200
E	250	100

Own-price change → movement along the demand curve.

The Demand Curve

The demand curve slopes downward.

Higher prices are associated with lower quantities demanded, holding other things constant.



Point	Price (pence per kg)	Market demand (tonnes 000s)
A	50	700
B	100	500
C	150	350
D	200	200
E	250	100

Own-price change → movement along the demand curve.

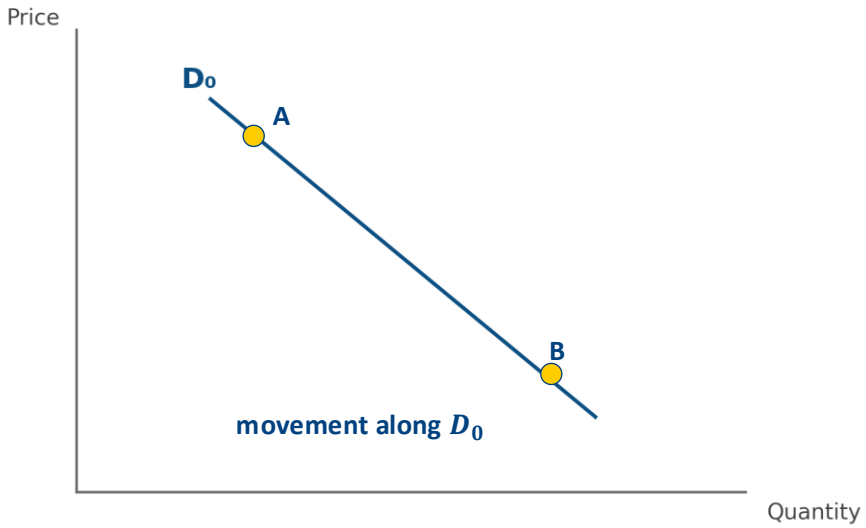
A Change in Price: Movement Along Demand

When the product's own price changes, the curve itself does not shift.

Movement along the curve

Price ↑ → quantity demanded ↓

Price ↓ → quantity demanded ↑

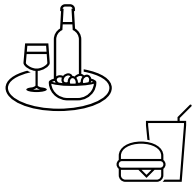


Demand has not shifted — quantity demanded has changed.

What Else Affects Demand?

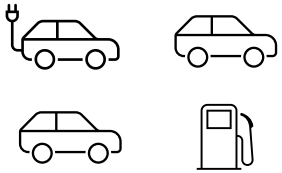
These factors shift the entire demand curve.

Income



- Income ↑ → demand for a **normal good** ↑
- Income ↑ → demand for an **inferior good** ↓

Prices of related goods



- **Substitutes:** price of one good ↓ → demand for the other good ↓
- **Complements:** price of one good ↓ → demand for the other good ↑

Tastes and preferences

- If a good becomes more popular → demand ↑
- If a good becomes less popular → demand ↓

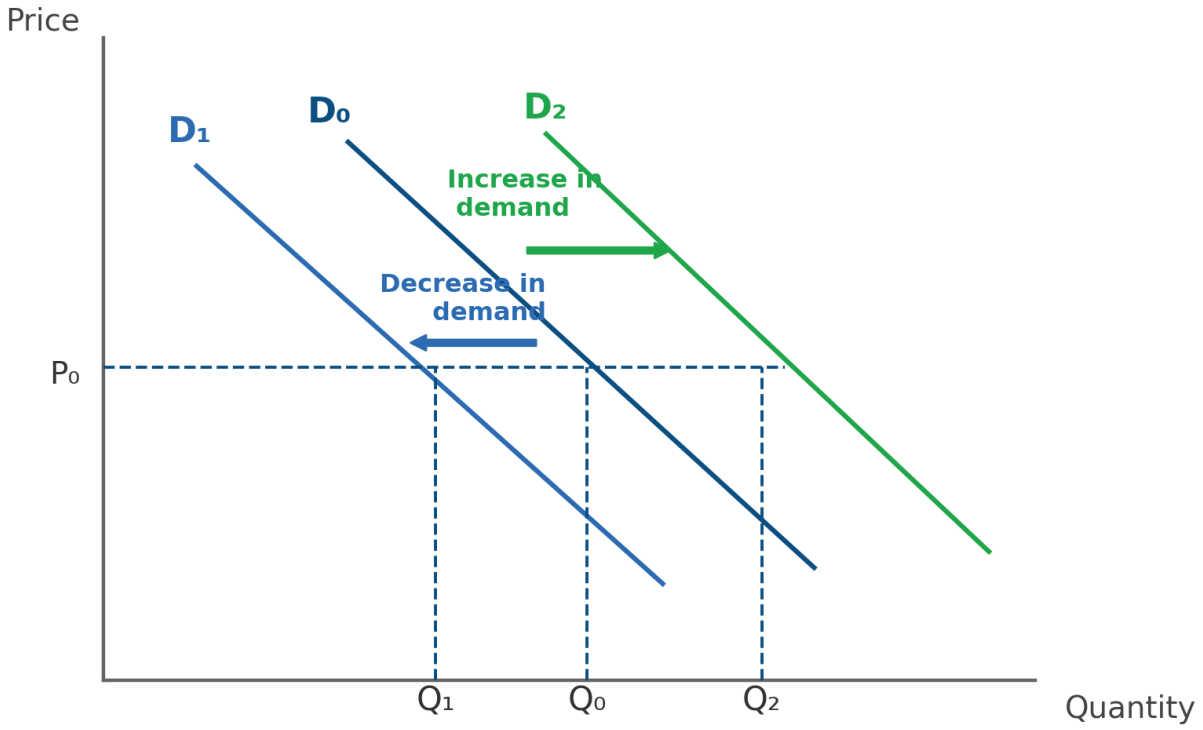
Expectations

- Expectations about **future prices or income** can affect demand today.

Number of consumers

- Number of consumers ↑ → market demand ↑

Shifts In The Demand Curve



Non-price determinants change demand and shift the whole demand curve.

Movement Along vs Shift of Demand

This distinction is essential for the exam and coursework.

Movement along the curve

Caused by a change in the good's own price.

Changes quantity demanded.

Shift of the curve

Caused by another determinant of demand.

Changes demand.

Watch out: a fall in price does not 'increase demand'. It increases quantity demanded.

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Which of the following causes the demand curve to shift?



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The product's own price falls	Consumer income changes	The product's own price rises	A movement along the demand curve

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Show correct answer

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Supply

Section 3: How Markets Work

3.2 Supply — How do producers respond to prices and market conditions?

The Law of Supply

Holding other things constant, price and quantity supplied move in the same direction.

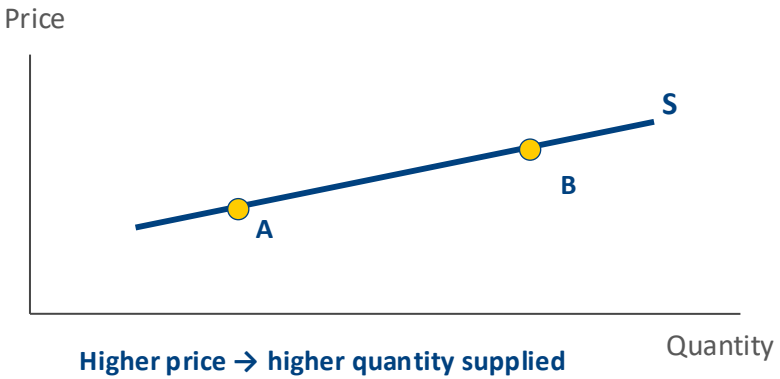
Ceteris paribus: when the price of a good rises, quantity supplied rises; when price falls, quantity supplied falls.

Quantity supplied

The amount sellers are willing and able to sell at a particular price.

Key distinction

Change in own price → change in quantity supplied.



Higher price → higher quantity supplied

From Individual Supply to Market Supply

Market supply adds up the quantities supplied by all sellers at each price.

Example – Supply Schedule: Supply for potatoes

Individual supply

Market supply

Point	Price (p/kg)	Mike's supply (kg)	Dave's supply (kg)	Market supply (thousand tonnes)
a	50	20	10	100
b	100	40	20	200
c	150	60	30	350
d	200	80	40	530
e	250	100	50	750

Question

What happens to market quantity supplied as price rises?

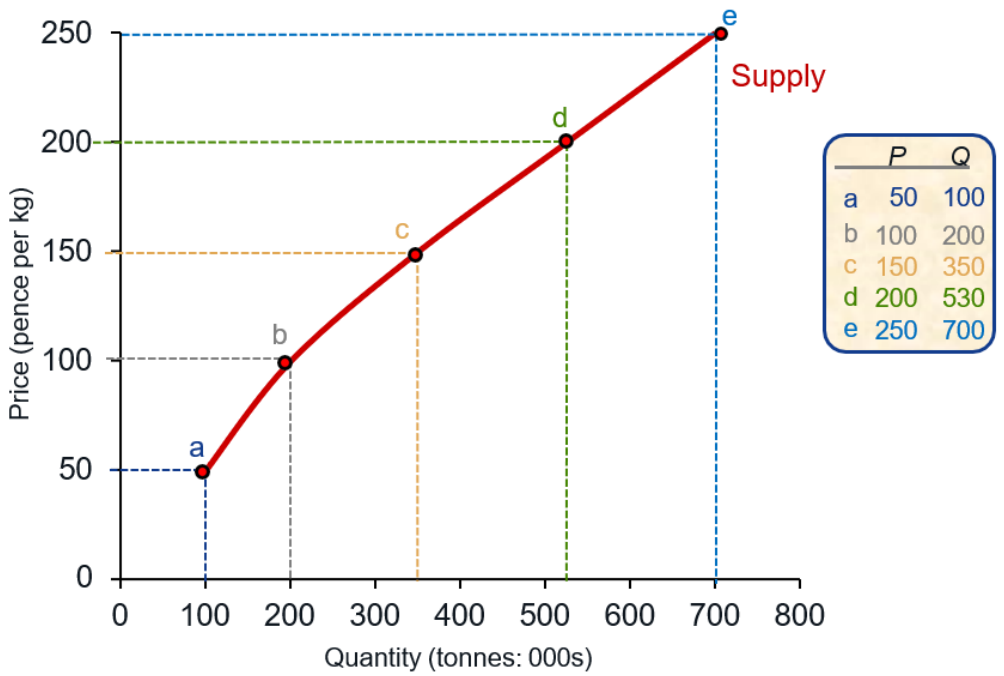
Mike and Dave are examples of individual sellers; market supply includes all sellers in the market.

The supply schedule becomes the supply curve.

The Supply Curve

The supply curve slopes upward.

Higher prices are associated with higher quantities supplied, holding other things constant.



Own-price change → movement along the supply curve.

What Else Affects Supply?

These factors shift the entire supply curve.

Production costs

- **Input prices** — input prices ↑ → production costs ↑ → less profitable → **supply** ↓
- **Technology** — better technology can reduce production costs → **supply** ↑
- **Government policy** — taxes, subsidies and regulation can change production costs and therefore affect supply

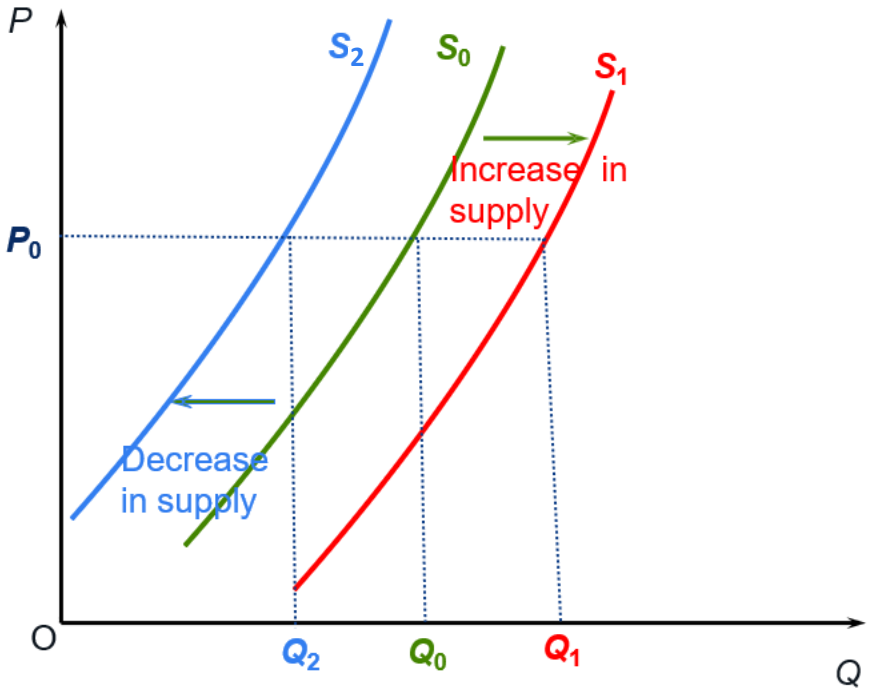
Expectations

- If firms expect higher prices in the future, they may reduce **current supply** and sell more later.

Number of sellers

- Number of sellers ↑ → **market supply** ↑

Shifts in the Supply Curve



Non-price determinants change supply and shift the whole supply curve.

Movement Along vs Shift of Supply

The key question is: what caused the change?

Movement along the curve

Caused by a change in the good's own price.

Changes quantity supplied.

Shift of the curve

Caused by another determinant of supply.

Changes supply.

Watch out: a higher price does not 'increase supply'. It increases quantity supplied.

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Which of the following would shift the supply curve?



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Energy costs increase	The product's own price rises	The product's own price falls	Quantity supplied changes because price changes

Show correct answer

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Equilibrium

Section 3: How Markets Work

3.3 Market Equilibrium — How do demand and supply determine price and quantity?

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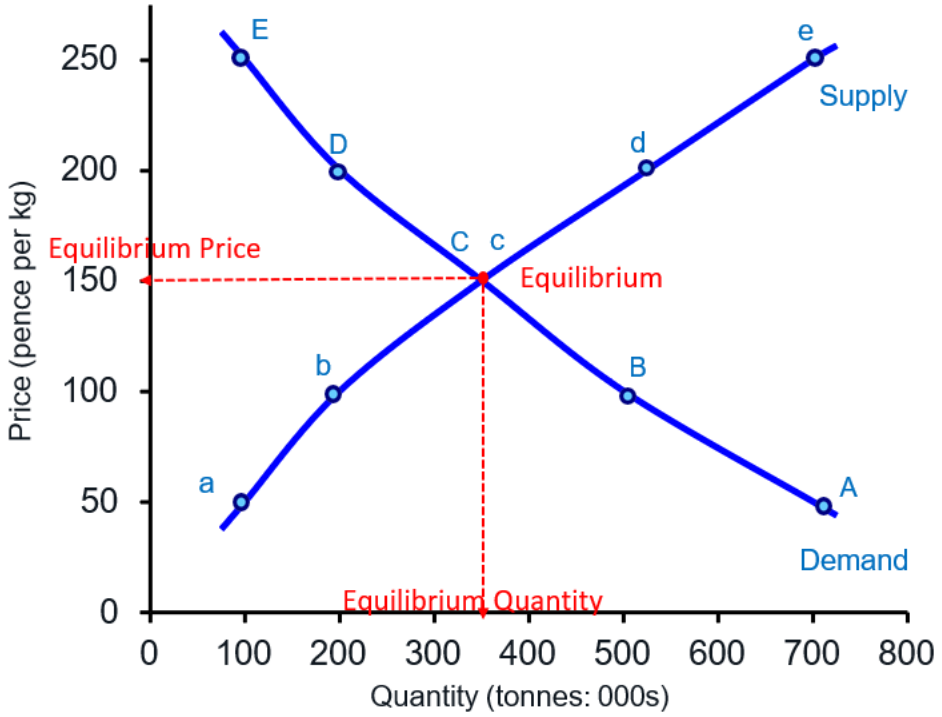
Bringing Demand and Supply Together

Equilibrium is where the two curves intersect.

The demand curve shows buyers' decisions.

The supply curve shows sellers' decisions.

The intersection gives the market equilibrium.



Equilibrium occurs where quantity demanded equals quantity supplied.

Market Equilibrium

At equilibrium, there is no pressure for the market price to change.

Quantity demanded = Quantity supplied

Equilibrium price

The price at which buyers want to buy exactly the amount sellers want to sell.

Equilibrium quantity

The quantity that buyers want to buy and sellers want to sell at the equilibrium price.

The market clears at equilibrium.

Market Equilibrium

Quantity demanded = Quantity supplied

Price of potatoes (pence per kg)	Total market demand (tonnes: 000s)	Total market supply (tonnes: 000s)
50	700 (A)	100 (a)
100	500 (B)	200 (b)
150	350 (C)	350 (c)
200	200 (D)	530 (d)
250	100 (E)	700 (e)

Surplus: Price Is Above Equilibrium

Quantity supplied is greater than quantity demanded.

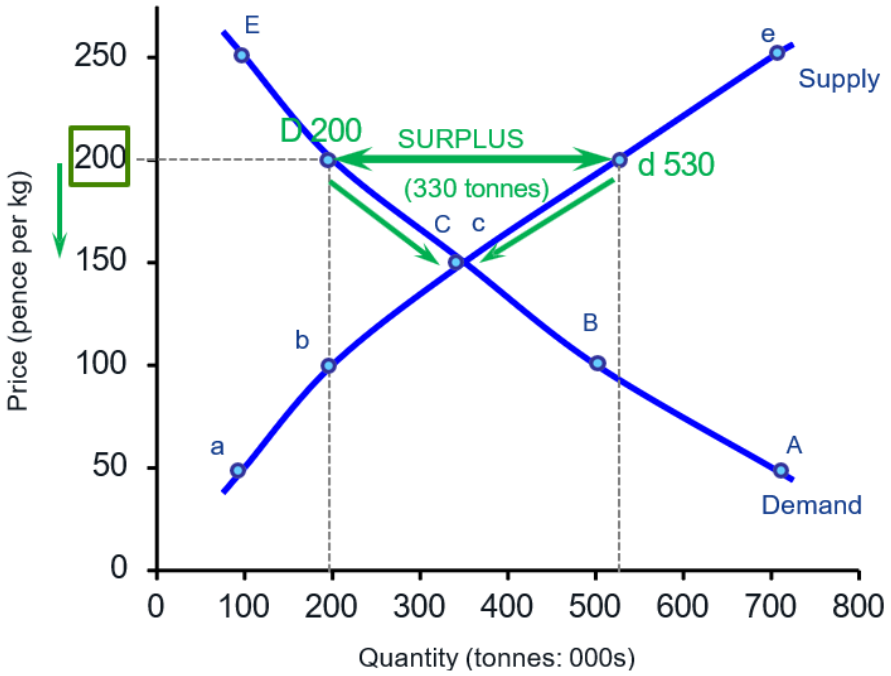
What happens?

At a price above equilibrium:

Quantity supplied > quantity demanded

Sellers cannot sell everything they planned to sell.

This creates downward pressure on price.



As price falls: quantity demanded rises and quantity supplied falls.

Shortage: Price Is Below Equilibrium

Quantity demanded is greater than quantity supplied.

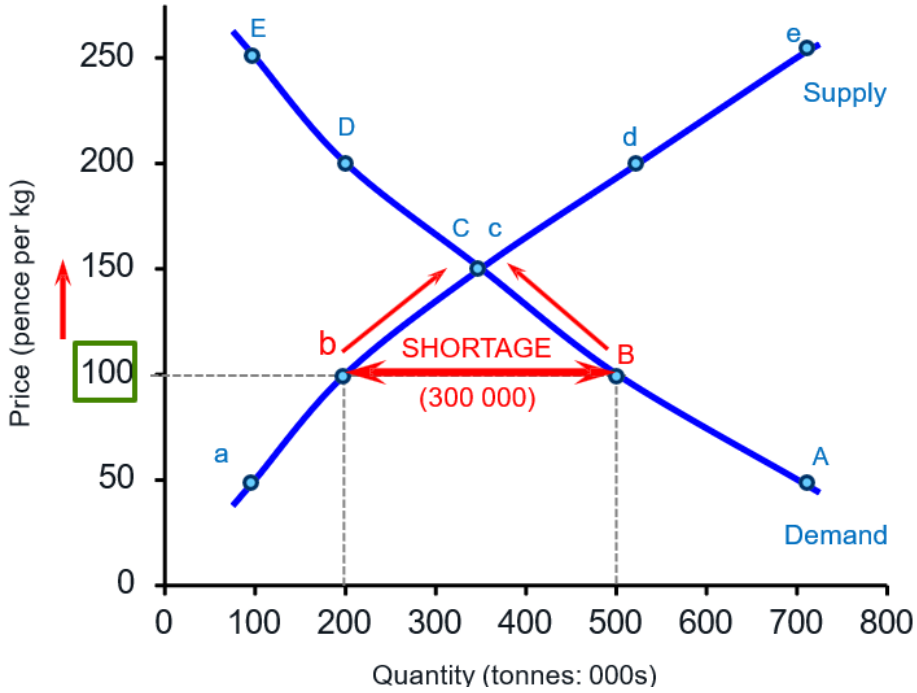
What happens?

At a price below equilibrium:

Quantity demanded > quantity supplied

Consumers want to buy more than firms are selling.

This creates upward pressure on price.



As price rises: quantity demanded falls and quantity supplied rises.

Back to Equilibrium

Price adjustment moves the market back toward balance.

Surplus

Quantity supplied > quantity demanded

Price tends to fall

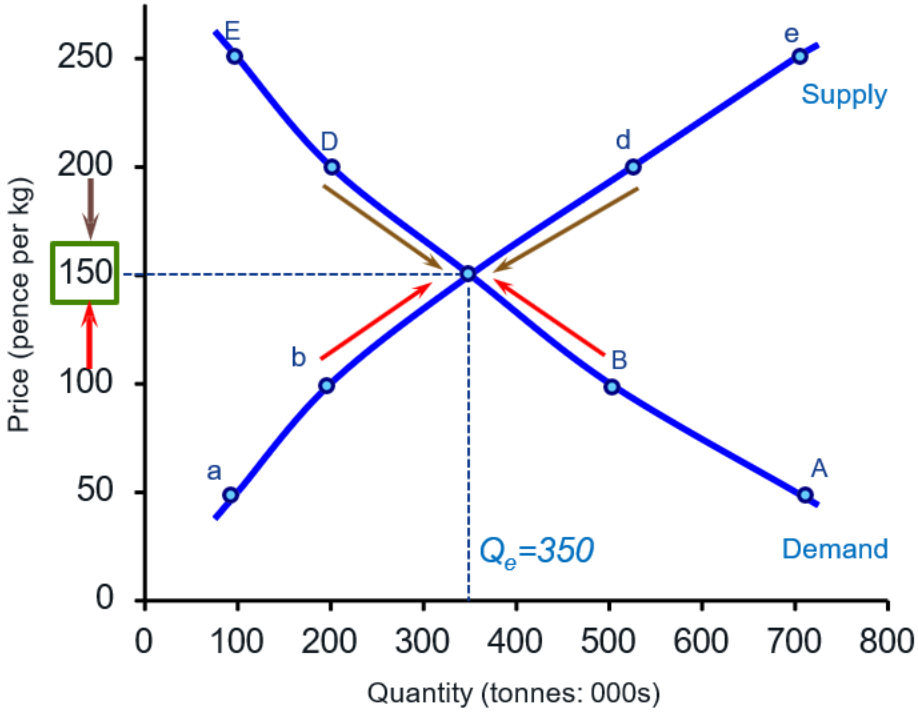
Market moves toward equilibrium

Shortage

Quantity demanded > quantity supplied

Price tends to rise

Market moves toward equilibrium

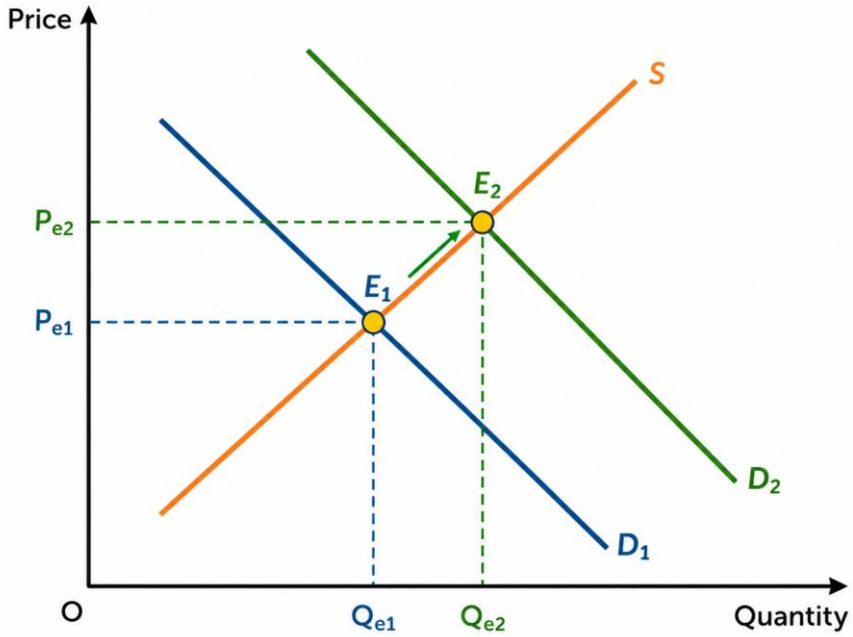


Equilibrium is the point where these pressures disappear.

What Happens When Demand Increases?

A rightward shift in demand changes the equilibrium.

1. Demand increases: $D_1 \rightarrow D_2$
2. At the original price P_{e1}: quantity demanded > quantity supplied → shortage
3. The shortage puts upward pressure on price
4. As price rises: quantity supplied ↑ and quantity demanded ↓
5. **New equilibrium: higher price P_{e2} and higher quantity Q_{e2}**

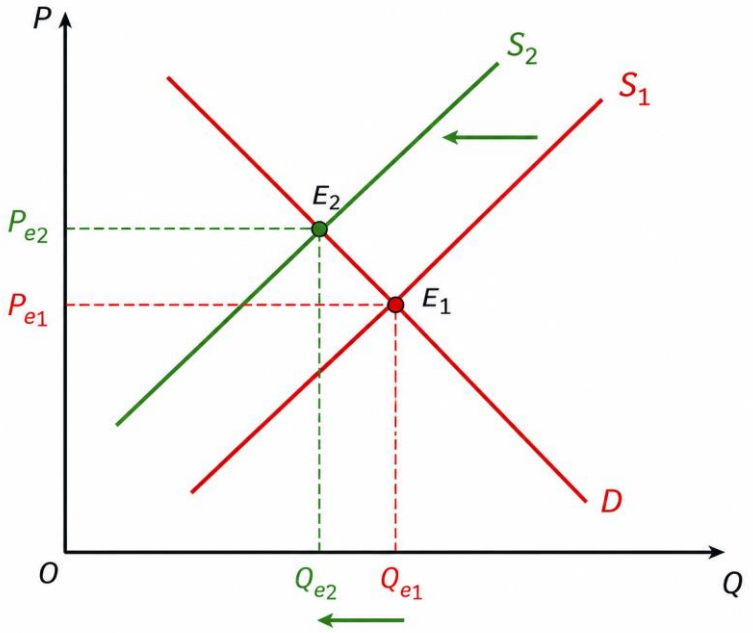


During adjustment, supply does not shift — quantity supplied increases along the supply curve.

What Happens When Supply Decreases?

A leftward shift in supply changes the equilibrium.

1. Supply decreases: $S_1 \rightarrow S_2$
2. At the original price P_{e1}: quantity demanded > quantity supplied → shortage
3. The shortage puts upward pressure on price
4. As price rises: quantity demanded ↓ and quantity supplied ↑
5. **New equilibrium: higher price P_{e2} and lower quantity Q_{e2}**



During adjustment, demand does not shift — quantity demanded falls along the demand curve.

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If there is excess demand in an unregulated market, what would we normally expect to happen to price?



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0	0	0	0
Price rises	Price falls	Price remains unchanged	The demand curve disappears

0 of 1 responded

Show correct answer

Looking at the Maths

We can also find equilibrium using simple equations.

Demand function

$Q_d = a - bP$

Qd = quantity demanded
P= price
a= quantity demanded when price is zero
b= how strongly quantity demanded changes when price changes

Supply function

$Q_s = c + dP$

Qs = quantity supplied
P= price
c= quantity supplied when price is zero
d= how strongly quantity supplied changes when price changes

At equilibrium:

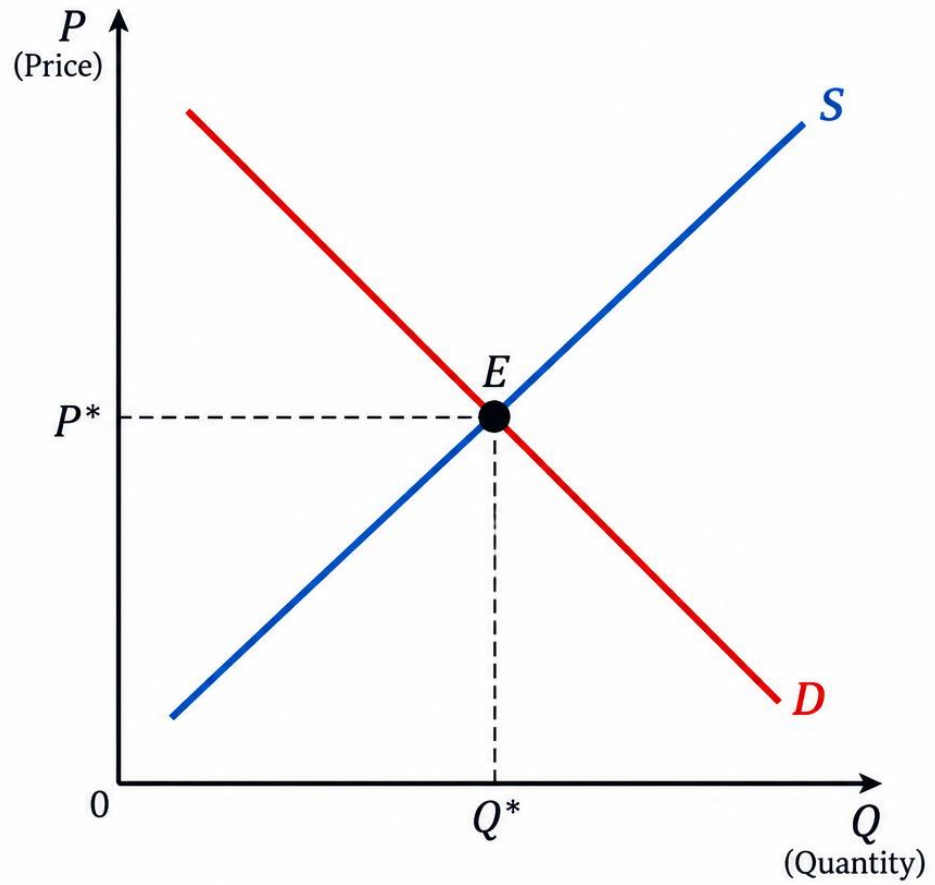
$$Q_d = Q_s$$

The maths is just another way of expressing the graph.

Market Equilibrium Diagram

The same model in one simple diagram.

P* = equilibrium price
Q* = equilibrium quantity



Demand slopes down.

Supply slopes up.

Equilibrium is where they meet.

Your Turn: Find the Market Equilibrium

Try this before the solution is shown.

Consider the following demand and supply functions for a hypothetical product

Demand function:

$$\boldsymbol{Qd = 50 - 5P}$$

where Qd is the quantity demanded and P is the price per unit.

Supply Function:

$$\boldsymbol{Qs = 10 + 3P}$$

where Qs is the quantity supplied and P is the price per unit.

Task

1. Set $Qd = Qs$ to find the equilibrium

2. Solve for P

3. Substitute P into either equation to find Q

Take 2–3 minutes. Try this individually or with the person next to you.

Solution: Find Equilibrium Price and Quantity

Step-by-step solution.

1. Set demand equal to supply

$50 - 5P = 10 + 3P$

2. Solve for price

$40 = 8P \rightarrow P^* = 5$

3. Find quantity

$Q^* = 50 - 5(5) = 25$

Equilibrium: $P^* = 5$ and $Q^* = 25$

Lecture 1: Five Things to Remember

These are the ideas to carry into the next lecture.

1. Scarcity means choices must be made.
2. Choices involve opportunity costs.
3. Own-price changes cause movements along demand/supply curves.
4. Other factors shift demand or supply.
5. Market equilibrium occurs where $Qd = Qs$.

References and Further Reading

Sloman, Garratt & Guest (2018), Economics, 10th edition.

Mankiw, N. G. (2017). Economics.

Begg, D., Vernasca, G., Fischer, S. and Dornbusch, R. (2020). Economics. 12th edition.

Radford, R. A. (1945). The Economic Organisation of a POW Camp. Economica, 12(48), 189–201.

Please check Blackboard each week for the specific readings linked to each lecture.